

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA**

Tentative Ruling

**2026CUWT064828: WILLIAM SCHMELTZ vs MOTAUR EXPRESS
08/26/2026 in Department 41
Motion for Order Compelling Arbitration and to Dismiss or Stay Proceedings**

The Court intends to CONTINUE the matter for the following reasons:

Defendant Motaur Express has successfully met its moving burden of pointing to the existence of a valid arbitration agreement.

However, Plaintiff William Schmeltz contends that he is a “transportation worker” under the Federal Arbitration Act (“FAA”), section one, and thus the FAA does not apply here.

To that end, the Court finds that Plaintiff currently fails to present sufficient evidence on the issue, and thus the Court will grant a continuance of the motion for Plaintiff to conduct limited and targeted discovery on whether the packages he delivered were part of interstate commerce.

On 4/20/26, Plaintiff filed a complaint alleging fifteen causes of action: (1) Physical Disability Discrimination (Gov't Code § 12940(a)); (2) Failure to Provide Reasonable Accommodation (Gov't Code § 12940(m)); (3) Failure to Engage in the Interactive Process (Gov't Code § 12940(n)); (4) Retaliation for Protected Activity (Gov't Code § 12940(h)); (5) Failure to Prevent Discrimination, Harassment, and Retaliation (Gov't Code § 12940(k)); (6) Wrongful Termination in Violation of Public Policy; (7) Whistleblower Retaliation (Lab. Code § 6310); (8) Retaliation for Exercising Labor Code Rights (Lab. Code § 98.6); (9) Failure to Provide Rest Periods (Lab. Code § 226.7); (10) Failure to Reimburse Business Expenses (Lab. Code § 2802); (11) Failure to Timely Pay Final Wages at Separation (Lab. Code §§ 201-203); (12) Failure to Provide Accurate Itemized Wage Statements (Lab. Code § 226); (13) Failure to Maintain Required Payroll and Employment Records (Lab. Code § 1198.5); (14) Failure to Provide Employment Records Upon Request (Lab. Code §§ 226, 1198.5); and (15) Unfair Business Practices (Bus. & Prof. Code §§ 17200, et seq.).

On 6/5/26, Defendant filed its answer.

On 7/6/26, Defendant filed this motion to compel arbitration.

Defendant Motaur seeks to enforce an arbitration agreement entitled “Mutual Agreement to Individually Arbitrate Disputes” (the “Agreement”) against Plaintiff.

Plaintiff worked for Motaur from 11/10/25 to 1/2/26 as a delivery driver. Defendant states that it is a delivery service based in Camarillo, which makes local-only deliveries for its clients, including Amazon Logistics, Inc. Motaur contracts with Amazon to provide delivery services on behalf of Amazon through Amazon’s Delivery Service Partner program. Motaur hires drivers to

deliver packages to Amazon customers who order the products from Amazon's website. Plaintiff was such a driver.

During the initial hiring process with Motaur, Plaintiff executed the Agreement on 11/3/25. The Agreement provides that Plaintiff and Motaur "agree that any covered claim... shall be submitted to binding arbitration." "Covered Claims" is defined as all claims, "under applicable federal, state or local laws, arising out of or relating to (a) Employee's... hours worked... and/or employment with the Company or the termination thereof." (Id.) This also includes claims asserted under or relating to: "(iii) Fair Labor Standards Act or similar state statutes; ... (v) Americans with Disabilities Act or similar state statutes; ... (xi) issues regarding benefits, bonuses, wages, penalties; ... (xiv) federal, state, local, or municipal regulations, ordinances, or orders; (xv) any common law, or statutory law issues relating to discrimination by ... disability, medical condition ... or other characteristic protected by applicable law; ... (xvi) wrongful retaliation of any type...."

The Agreement further states that, "The Employee and the Company each specifically acknowledges and agrees that any claims brought by the Employee against any of the Covered Parties, whether brought jointly or severally with claims against the Company, shall be subject to arbitration under this Agreement. "Covered Parties" means the Company, ...former and current officers, directors, managers, employees, owners, ..."

The Agreement further states it is governed by the Federal Arbitration Act ("FAA"). Accordingly, Motaur and Plaintiff specifically agreed that the FAA governs the interpretation and enforcement of the Agreement.

Even if the Court were to find that the FAA does not apply, Plaintiff must arbitrate his claims under the California Arbitration Act ("CAA"). The Agreement provides that "[i]f, for any reason, the FAA or federal common law is found not to apply to this Agreement (or its agreement to arbitrate), then applicable state law shall govern."

The Agreement is a valid arbitration agreement. Under California law, a valid contract requires: (1) parties capable of contracting; (2) their consent; (3) a lawful object; and (4) a sufficient cause or consideration. (Cal. Civ. Code § 1550.) The Agreement satisfies each requirement. First, under California law, all persons can contract "except minors, persons of unsound mind, and persons deprived of civil rights." (Cal. Civ. Code § 1556.) Second, by signing the Agreement, Plaintiff demonstrated his intent to be bound by the terms of the Agreement. Third, dispute resolution through contractual arbitration is a lawful purpose. Fourth, as a mutual promise to arbitrate disputes, the Agreement is supported by valid consideration. The signed Agreement is thus a valid arbitration agreement.

Defendant contends that all the claims alleged in the Complaint are covered under the arbitration agreement.

Defendant contends that Plaintiff cannot establish any basis to revoke the Agreement. The unconscionability doctrine does not apply here as the Agreement is not procedurally or substantively unconscionable. The Agreement is also enforceable under *Armendariz*. To the

extent that the Court deems any part of the Agreement unenforceable, it should sever that provision and enforce the remainder.

Defendant asks the Court to compel arbitration and dismiss the complaint.

The motion is supported by declarations from Motaur's owner, James Hooshman, describing the procedure by which an employee agrees to be bound by the arbitration agreement, and from defense counsel Amy K. Saechao, stating that prior to filing this motion, she reached out to Plaintiff's counsel and sought a stipulation for arbitration, which offer was refused.

Plaintiff contends that he was a transportation worker engaged in interstate commerce, which makes him exempt from the FAA. Although he delivered packages locally, the recent case of *Betanco v. Living Spaces Furniture, LLC*, 345 Cal.Rptr.3d 715 holds that a last-mile delivery driver can be a transportation worker exempt from the FAA even when the driver never crosses state lines, so long as the worker plays a direct, necessary, and active role in moving goods through the continuous stream of interstate commerce. *Betanco* held that the plaintiff in that case was a transportation worker because he was engaged in transporting goods in their interstate journey to customers. The court explained that the focus is whether the worker played "a 'direct,' 'necessary,' and 'activ[e] role in moving goods across borders.'" (*Id.* at 721). The court relied on authority holding that intrastate deliveries are part of interstate commerce when they are a continuation of an interstate journey and there is practical continuity of movement until goods reach their intended customers. (*Id.* at 722).

Similarly, here, Defendant admits Motaur contracts with Amazon Logistics through Amazon's Delivery Service Partner program. Defendant admits Motaur drivers deliver packages to Amazon customers who order products from Amazon's website. Motaur's owner declares that Motaur hires drivers to deliver packages to Amazon customers who order products from Amazon's website. Defendant admits Plaintiff picked up packages from the Amazon delivery location in Camarillo and delivered them locally. These admissions establish that Plaintiff's work was the last-mile delivery component of Amazon's package movement, the same practical role the Court of Appeal held sufficient in *Betanco*.

At a minimum, Defendant's "local-only" evidence creates a factual issue that should not be resolved in Defendant's favor on this record. Defendant controls the evidence concerning Amazon package origin, Amazon distribution flow, route assignment, scanning records, and whether packages delivered by Plaintiff originated outside California before reaching the Camarillo delivery station.

Defendant's fallback argument also fails. Defendant asserts that even if the FAA does not apply, the Agreement remains enforceable under the CAA. But AB 2155 amended Code of Civil Procedure section 1281 to provide that a written arbitration agreement "is not enforceable under this section to the extent the agreement is not enforceable under the Federal Arbitration Act." AB 2155 expressly states its purpose is to incorporate into the CAA all FAA exclusions, including contracts of employment of "seamen, railroad employees, or any other class of workers engaged in foreign or interstate commerce." Under that amended statute, Defendant cannot use California law to enforce what the FAA excludes.

The agreement itself confirms the same result. The agreement excludes claims that, under applicable state law not preempted by the FAA, the parties cannot agree to arbitrate. The agreement also states that if the FAA or federal common law does not apply, applicable state law governs. If AB 2155 applies, applicable state law now incorporates the FAA's transportation-worker exclusion and renders the arbitration agreement unenforceable to that extent.

Contracting parties cannot contract around the FAA's statutory exclusion by saying the FAA applies. If Plaintiff is a transportation worker under *Betanco*, the agreement is not enforceable under the FAA. Under AB 2155 and amended Code of Civil Procedure section 1281(b), Defendant likewise cannot enforce the agreement under the CAA to that same extent.

Lastly, unpaid-wage claims under Labor Code 229 are not subject to arbitration under the CAA. Thus, if the FAA does not apply here but CAA does apply, Plaintiff's wage-and-hour and res-period claims should remain in this court.

To the extent that Defendant seeks a broad order dismissing or barring representative claims under the Agreement, that request should be denied. *Betanco* confirms that representative PAGA claims are not dismissed merely because individual claims may be compelled to arbitration.

The Court should deny the motion. At minimum, Plaintiff's wage and rest-period claims should remain in court under California law, and Defendant's request for dismissal should be denied. In *Betanco*, the trial court allowed unpaid wage, overtime, unlawful deduction, meal-period, and rest-period claims.

If the Court finds the current record insufficient, Plaintiff requests targeted discovery into the transportation-worker exemption. The proper remedy here is not to grant the motion but to permit targeted discovery on the facts Defendant controls regarding whether the packages delivered by Plaintiff originate from interstate commerce. In response to Plaintiff's request for onboarding documents, Defendant objected that Plaintiff was not entitled to discovery on the merits until the parties stipulated to arbitration or the Court ruled on this motion to compel.

In Reply, Defendant argues Plaintiff's Opposition does not dispute the existence of the Arbitration Agreement with Defendant. Nor does Plaintiff refute that he executed the Agreement. Instead, in an attempt to avoid his obligations under the Agreement, Plaintiff presents two arguments in his Opposition against enforcing the Agreement: (i) Plaintiff asserts that he falls into the narrow class of transportation workers exempt from the FAA; and (ii) Plaintiff contends that the Agreement is not enforceable under California law. However, each argument fails because (i) Plaintiff did not meet his burden to show that he is a transportation worker exempt from the FAA; (ii) in the event the FAA does not apply, the parties agreed to be bound by state law; and (iii) the Agreement is enforceable under California law. Plaintiff makes no argument that the Agreement is unconscionable and has therefore waived any such argument.

FAA section 1 does not apply here because the Agreement here is not a contract of employment. The Agreement is a standalone contract for mutual arbitration and not contained within any

“broader employment agreement.” The Agreement indicates “that nothing in this Agreement modifies the at-will nature of [Plaintiff’s] employment” and applies to claims that arise before and after Plaintiff’s employment[.]” (Id., emphasis added.) As such, the Agreement is enforceable regardless of whether an employment relationship arose. Moreover, the Agreement is not an arbitration provision contained within a broader employment contract – it is separate from any employment contract.

Plaintiff is not a “transportation worker” subject to the FAA exemption. There is a two-step analysis: to review the job description (the actual performance); and then determine if that work plays a “direct and necessary role in the free flow of goods across borders.” (*Randstad Inhouse Servs., LLC* (9th Cir. 2024) 95 F.4th 1152, 1159–60.) The critical question is whether the worker is actively “engaged in transportation” of goods in interstate commerce and played a “direct and necessary role in the free flow of goods across borders.” (See *Bissonnette v. LePage Bakeries Park St., LLC* (2024) 601 U.S. 246, 256.) While it’s certainly possible that the goods originally came from outside California, there’s no evidence of that effect, and the Opposition only assumes that is true.

Additionally, Plaintiff seemingly attempts to shift the burden of proof to Defendant to establish the origination of goods. (See Declaration of Julian Samaan (“Samaan Decl.”), ¶¶ 11-15.) Such attempts are erroneous as it is well established that the burden to demonstrate that the exemption applies lies with the opposing party. (*Betancourt, supra*, 62 Cal.App.5th at 559.)

In the event the Court finds that the FAA’s section 1 exemption applies, the exemption is not dispositive. It removes only the FAA; it does not defeat arbitration. Because the Agreement provides that state law governs if the FAA does not apply, and California has no analogue to the section 1 exemption, the California Arbitration Act (“CAA”) governs as the fallback, and independently supports enforcement. (*Garrido v. Air Liquide Indus. U.S. LP* (2015) 241 Cal.App.4th 833, 841-842.)

Plaintiff’s Opposition relies heavily on the notion that AB 2155 currently applies and precludes the enforcement of the Agreement under the CAA. (See Opp. at pp. 8-9.) However, Plaintiff’s argument is moot as the bill is not currently in effect. AB 2155, which would modify Code of Civil Procedure, section 1281, was chaptered on June 30, 2026, with no specified effective date, triggering the California Constitution’s due process rules on effective dates for statutes. Accordingly, the effective date of such amendment is January 1, 2027, and not before. (California Constitution, Article IV, Section 9(c)(1).)¹ Plaintiff has no basis to assert the retroactive application of a law that is not currently in effect.

Labor Code 229 does not invalidate the Agreement. Labor Code 229 only applies “if a cause of action seeks to collect due and unpaid wages pursuant to sections 200 through 244” of the Labor Code. (*Lane v. Francis Cap. Mgmt. LLC* (2014) 224 Cal.App.4th 676, 684.) Defendant argues that the 9th, 10th, and 12th COAs are excluded from Labor Code 229.

¹Providing: “(c) (1) Except as provided in paragraphs (2) and (3) of this subdivision, a statute enacted at a regular session shall go into effect on January 1 next following a 90-day period from the date of enactment of the statute and a statute enacted at a special session shall go into effect on the 91st day after adjournment of the special session at which the bill was passed....”

Plaintiff's contention that PAGA claims are waived under the Agreement is incorrect. The Agreement makes no reference to PAGA at all. Instead, by the plain language of its terms, the Agreement states that claims subject to arbitration include those class, collective, and representative actions "to the absolute maximum extent permitted by law[.]" In any event, this is not a class action lawsuit, so Plaintiff's class waiver argument is inapt.

As to the merits, California has a strong public policy in favor of arbitration. (*Moncharsh v. Heily & Blasé* (1992) 3 Cal.4th 1, 9.) A written agreement to submit to arbitration a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.)

Likewise, Section 2 of the Federal Arbitration Act (FAA) provides in relevant part: "A written provision in...a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction...shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) "In determining the rights of parties to enforce an arbitration agreement within the FAA's scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

The existence of a valid agreement to arbitrate is determined by reference to state law principles regarding the formation, revocation and enforceability of contracts generally. (See *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 385; see also *Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1327-28.)

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and where a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate if it determines an agreement to arbitrate the controversy exists. (Code Civ. Proc., § 1281.2; *Gorlach v. Sports Club Co.* (2012) 209 Cal.App.4th 1497, 1505 [noting that "when presented with a petition to compel arbitration, the trial court's first task is to determine whether the parties have in fact agreed to arbitrate the dispute"].) In deciding a petition to compel arbitration, trial courts must first decide whether an enforceable arbitration agreement exists between the parties and then determine the second gateway issue of whether the claims are covered within the scope of the agreement. (*Omar v. Ralphs Grocer Co.* (2004) 118 Cal.App.4th 955, 961.) The initial burden is on the party petitioning to compel arbitration to prove the existence of the agreement by a preponderance of that evidence. (*Villacreses v. Molinari* (2005) 132 Cal.App.4th 1223, 1230.)

Once petitioners allege that an arbitration agreement exists and attaches a copy of the agreement to the petition, or sets forth the arbitration provisions in the petition, the burden shifts to respondents to prove the falsity of the purported agreement; no evidence or authentication of the arbitration agreement is required to find the agreement exists. (*Condee v. Longwood Mgt. Corp.* (2001) 88 Cal.App.4th 215, 219.)

Code of Civil Procedure section 1281.4 provides, in relevant part: “If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (Code Civ. Proc., § 1281.4.) “The purpose of the statutory stay [under section 1281.4] is to protect the jurisdiction of the arbitrator by preserving the status quo until arbitration is resolved. [Citations.] [¶] In the absence of a stay, the continuation of the proceedings in the trial court disrupts the arbitration proceedings and can render them ineffective.” (*Federal Ins. Co. v. Superior Court* (1998) 60 Cal.App.4th 1370, 1374-1375.) Even “a single overlapping issue is sufficient to require imposition of a stay.” (*Heritage Provider Network, Inc. v. Superior Court* (2008) 158 Cal.App.4th 1146, 1153; see also *Coast Plaza Doctors Hospital v. Blue Cross of Calif.* (2000) 83 Cal.App.4th 677, 693 [staying all non-arbitral claims other than for injunction]; *Federal Insurance Co., supra*, 60 Cal.App.4th at p. 1374 [stay required where continuation of proceedings in the trial court “disrupts” arbitration proceedings and “can” render those proceedings ineffective].)

For the purposes of a motion to compel arbitration, the moving party meets his or her initial burden by simply setting forth the terms of the agreement in the petition or by attaching a copy of it thereto—Code of Civil Procedure section 1281.2 does not require a petitioner to introduce the agreement to arbitrate into evidence, petitioner must only convince the court that the agreement exists. (See *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218-219 [“A plain reading of the statute [Code Civ. Proc., § 1281.2] indicates that as a preliminary matter the court is only required to make a finding of the agreement's existence, not an evidentiary determination of its validity.”])

Here, Defendant’s owner James Hooshman’s declaration goes through the online onboarding process that a Motaur’s delivery driver must complete to be hired and sets forth the text of the Arbitration Agreement. Hooshman declares that as part of that process, Plaintiff reviewed and accepted the Agreement. Plaintiff does not dispute these facts in the Opposition. Therefore, it appears that the existence of an arbitration agreement has been shown.

Hooshman’s declaration further shows that the Agreement provides that it is to be governed by the FAA, but if for any reason, the FAA or federal common law is found not to apply to the Agreement or its agreement to arbitrate, then applicable state law shall govern.

The second prong is a little trickier, the initial determination whether the parties agreed to arbitration of the dispute in question “involves two considerations: (1) whether there is a valid agreement to arbitrate between the parties; and (2) whether the dispute in question falls within the scope of that arbitration agreement.” [Citation.] [Citations.]” (*Bruni v. Didion* (2008) 160 Cal.App.4th 1272, 1283.) “[T]here is no public policy favoring arbitration of disputes which the parties have not agreed to arbitrate.” [Citation.] Therefore, the second policy guiding our decision is that no dispute may be ordered to arbitration unless it is within the scope of the arbitration agreement. ‘In determining the scope of an arbitration clause, ‘[t]he court should attempt to give effect to the parties’ intentions, in light of the usual and ordinary meaning of the contractual language and the circumstances under which the agreement was made [citation].’ [Citation.]’

[Citation.] “[T]he terms of the specific arbitration clause under consideration must reasonably cover the dispute as to which arbitration is requested.” [Citation.]” (*Titolo v. Cano* (2007) 157 Cal.App.4th 310, 317.)

Here, the subject Arbitration Agreement provides, in relevant part that “THE EMPLOYEE AND COMPANY AGREE THAT ANY COVERED CLAIM (DEFINED BELOW), WHETHER BASED IN CONTRACT, TORT, STATUTE, COMMON LAW, FRAUD, MISREPRESENTATION OR ANY OTHER LEGAL OR EQUITABLE THEORY, SHALL BE SUBMITTED TO INDIVIDUAL BINDING ARBITRATION.” (Hooshman Decl., ¶ 7(h), Exh. 1, under “Mandatory Arbitration.”)

The Agreement “covers all past, current, and future grievances, disputes, claims, issues, or causes of action (collectively, "claims") under applicable federal, state or local laws, arising out of or relating to (a) Employee's application, hiring, hours worked, services provided, and/or employment with the Company or the termination thereof, and/or (b) a Company policy or practice, or the Company's relationship with or to a customer, vendor, or third party, including without limitation claims Employee may have against the Company and/or any Covered Parties (defined below), or that the Company may have against Employee.” (Hooshman Decl., ¶ 7(h), Exh. 1, under “Covered Claims.”)

“Covered Claims” is defined as all claims “under applicable federal, state or local laws, arising out of or relating to (a) Employee's... hours worked... and/or employment with the Company or the termination thereof.” This also includes claims asserted under or relating to: “(iii) Fair Labor Standards Act or similar state statutes; ... (v) Americans with Disabilities Act or similar state statutes; ... (xi) issues regarding benefits, bonuses, wages, penalties; ... (xiv) federal, state, local, or municipal regulations, ordinances, or orders; (xv) any common law, or statutory law issues relating to discrimination by ... disability, medical condition ... or other characteristic protected by applicable law; ... (xvi) wrongful retaliation of any type....” (Hooshman Decl., ¶ 7(h), Exh. 1, under “Covered Claims.”)

Based on the foregoing, the Court may readily find that Defendant has met its *initial burden* of pointing to the *existence* of an agreement to arbitrate legal claims between the parties. Further, it is fairly clear that Plaintiff's claims being asserted in the Complaint are encompassed within the scope of the Agreement, which, by its plain terms, applies to all past, current, and future grievances, disputes, claims, issues, or causes of action (collectively, "claims") under applicable federal, state or local laws, arising out of or relating to (a) Employee's application, hiring, hours worked, services provided, and/or employment with the Company or the termination thereof...” The broad wording of this arbitration provision appears sufficient to encompass all of Plaintiff's causes of action.

Since Defendant has established the existence of a signed arbitration agreement, the burden turns to Plaintiff to oppose the enforceability of the agreement. (See *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1057 [“...If the party opposing the petition raises a defense to enforcement...that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense.”].) Here,

Plaintiff argues that the Agreement is not enforceable pursuant to the FAA exemption for “transportation workers” found in 9 U.S.C. § 1.

As stated above, the FAA generally provides that arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) Section 1 of the FAA, however, provides a limited exemption from FAA coverage to “contracts of employment of seamen, railroad employees, or any other class of workers engaged in foreign or interstate commerce.” (9 U.S.C. § 1.) In *Circuit City Stores, Inc. v. Adams* (2001) 532 U.S. 105, the United States Supreme Court concluded that the catchall clause in section 1—“any other class of workers engaged in foreign or interstate commerce”—does not refer to all workers involved in foreign or interstate commerce, but rather only to “transportation workers.” (*Id.* at p. 119.) Thus, arbitration agreements involving the employment contracts of transportation workers are exempt from the FAA.

Generally, a transportation worker is one who is “actively” “‘engaged in transportation’ of ... goods across borders via the channels of foreign or interstate commerce.” (*Southwest Airlines Co. v. Saxon* (2022) 596 U.S. 450, 458.) “In the wake of *Circuit City*, courts have grappled with whether employees can be defined as a ‘transportation worker’ under the FAA exemption. Such questions require case-by-case factual determination, with the party opposing the motion to compel arbitration bearing the burden to demonstrate that the exemption applies.” (*Betancourt v. Transportation Brokerage Specialists, Inc.* (2021) 62 Cal.App.5th 552, 559.)

Here, Defendant stresses that Plaintiff only delivered its packages locally and thus argues that Plaintiff is not a “transportation worker” under FAA § 1. However, cases that have dealt with the issue in the context of delivery drivers associated with Amazon.com delivery have made it clear that transportation workers need not cross state lines to be considered “engaged in foreign or interstate commerce” pursuant to § 1. (E.g., *Flowers Foods, Inc. v. Brock* (2026) 608 U.S. ___, 146 S.Ct. 1358; *Rittman v. Amazon.com, Inc.* (9th Cir. 2020) 971 F.3d 904; *Waithaka v. Amazon.com, Inc., No. 19-1848* (1st Cir. 2020) 966 F.3d 10, 13.) The FAA, section 1, exempts transportation workers who are engaged in the movement of goods in interstate commerce, even if they do not cross state lines.

In *Rittmann*, the plaintiff signed up to work as a delivery provider for Amazon's app-based delivery program, Amazon Flex (AmFlex), which agreement included the arbitration provision at issue. (*Rittmann, supra*, 971 F.3d at p. 907.) In the AmFlex program, Amazon contracts with individuals to make “last mile” deliveries of products from Amazon warehouses to the products’ destinations using the AmFlex smart phone application. AmFlex participants use a personal vehicle or bicycle, or public transportation, to deliver products ordered through the Amazon website or mobile applications. They pick up assigned packages from an Amazon warehouse and drive an assigned route to deliver the packages. (*Ibid.*) In determining that the plaintiffs in the case were “transportation workers” exempt under the FAA, the *Rittmann court* reasoned: “[A]mazon packages do not ‘come to rest,’ at Amazon warehouses, and thus the interstate transactions do not conclude at those warehouses. The packages are not held at warehouses for later sales to local retailers; they are simply part of a process by which a delivery provider transfers the packages to a different vehicle for the last mile of the packages’ interstate journeys. The interstate transactions between Amazon and the customer do not conclude until the packages

reach their intended destinations, and thus AmFlex drivers are engaged in the movement of interstate commerce.” (*Rittmann*, *supra*, 971 F.3d at p. 916.)

However, in *Rittmann*, the parties apparently did not dispute that the Amazon orders involved interstate commerce. “There is no suggestion that the goods AmFlex workers deliver originate in the same state where deliveries take place, such that delivery providers are making purely intrastate deliveries. Rather, AmFlex workers pick up packages that have been distributed to Amazon warehouses, certainly across state lines, and transport them for the last leg of the shipment to their destination. Although Amazon contends that AmFlex delivery providers are “engaged in local, intrastate activities,” the Amazon packages they carry are goods that remain in the stream of interstate commerce until they are delivered. AmFlex delivery providers are thus transportation workers engaged in the movement of interstate commerce and exempt from the FAA’s application.” (*Rittmann*, *supra*, 971 F.3d at p. 915.)

Here, the only evidence before the Court on the issue is that Plaintiff picked up packages for delivery in Camarillo and delivered such packages only locally. *There is no evidence that the packages originated from interstate commerce.* (Cf. *Betancourt v. Transportation Brokerage Specialists, Inc.* (2021) 62 Cal.App.5th 552, 560-561 [interstate nature of good delivered by plaintiff shown where plaintiff presented testimony from defendant’s COO that Amazon accounted for 99.5% of defendant’s overall business; defendant’s drivers did “last-mile delivery” for Amazon; drivers would go out to Amazon’s “giant warehouses,” load their vans with packages, and then deliver them to Amazon customers; plaintiff attested that based on his personal observations, the packages could have originated from anywhere in the United States or even foreign countries].) Evidence that is like that in *Betancourt* in character and scope is not presented here. Given this, it seems the Court cannot *assume* that the packages he delivered involved interstate commerce.

While Defendant does not actively dispute that interstate commerce is involved (and it appears highly that it would be given that the deliveries are for Amazon orders), the burden rests on Plaintiff to demonstrate that he qualifies as a transportation worker under § 1. Plaintiff’s declaration makes statements like “I did not personally transport packages across state lines. My delivery work occurred within California” or “my work was part of the Amazon delivery process for getting packages ordered by Amazon customers to their final delivery destinations” but nowhere does he state that he observed that the packages originated from another state or country. The Court also cannot take the facts discussed in *Rittmann* or similar cases involving AmFlex delivery drivers as true in this case. Nor do I think that the fact that Amazon delivery orders involve interstate commerce is a judicially noticeable fact. (Evid. Code, § 452, subd. (h).) Under the circumstances, I submit that as requested by Plaintiff, Plaintiff should be allowed to conduct limited discovery on the issue of whether the packages he delivered crossed state lines and thus whether Plaintiff is indeed a last-mile delivery worker. It appears likely that discovery, if properly conducted, will yield evidence that the packages delivered by Plaintiff involve interstate commerce.

I note that Defendant also argues that FAA section 1 does not apply here because the Agreement is not a contract of employment, Defendant contends that the Agreement is a standalone contract for mutual arbitration and not contained within any “broader employment agreement.” Further,

the Agreement indicates “that nothing in this Agreement modifies the at-will nature of [Plaintiff’s] employment” and applies to claims that arise before and after Plaintiff’s employment[.]” (*Id.*, emphasis added.) As such, Defendant asserts that the Agreement is enforceable regardless of whether an employment relationship arose.

It appears likely that executing the Agreement was made a condition of employment or a part of the hiring process and thus the fact that it is a standalone agreement should not prevent it from being considered a part of a single primary transaction – the employee’s hiring. (See *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 490 [stating that arbitration agreement should be read together with confidentiality agreement signed by employee because they were executed on the same day and were separate aspects of a single primary transaction – plaintiff’s hiring]; *Silva v. Cross County Healthcare, Inc.* (2025) 111 Cal.App.5th 1311, 1322-1323 [stating arbitration agreement must be read together with employment agreement where both were made parts of substantially one transaction].) Thus, I submit the Court should reject Defendant’s assertion that the FAA exemption does not apply because the arbitration agreement is not a “contract of employment.”

Defendant argues that even if the FAA does not apply, the Agreement is still enforceable under the CAA and thus the motion should be granted on that ground. However, the question of whether Plaintiff is a transportation worker or not – and hence whether the FAA applies or not – should be decided before the Court can move onto possibly enforcing the Agreement under the CAA. Specifically, in the recent case *In re Orr* (9th Cir. 2026) 178 F.4th 525, the Ninth Circuit held that the district court erred in sidestepping the question whether the FAA’s contracts of employment exclusion apply and refusing to determine whether the FAA or the CAA governs arbitration. This was so first because the arbitration agreement at issue provided that the FAA will govern unless the FAA does not apply to the dispute or to a party. Thus, as a contractual matter, the issue of the FAA’s applicability had to be decided before ordering arbitration. (*Id.* at p. 533.) Here too, the Agreement provides that the FAA governs arbitration *unless it is found not to apply*, in which case applicable state law governs. Thus, it appears that the Court may not side-step the issue of the FAA exemption and simply enforce the Agreement pursuant to the CAA.

“Second, whether the FAA or state law applies is not here simply a technical question. State law and the FAA are not identical. They differ in ways that may be relevant to this case. As a result, without any district court determination of the governing law, the arbitrator, when evaluating the threshold issues of the Agreement’s enforceability and arbitrability, will need to decide in the first instance whether the FAA governs. That is because certain issues pertaining to the Agreement’s arbitrability (which the Agreement’s Delegation Clause requires the arbitrator to decide) turn on whether the FAA applies and, accordingly, whether state law is preempted.” (*Orr, supra*, 178 F.4th at p. 533.)

“For example, section 229 of the California Labor Code provides that actions ‘for the collection of due and unpaid wages claimed by an individual may be maintained without regard to the existence of any private agreement to arbitrate.’ Cal. Lab. Code § 229. Where applicable, the FAA preempts section 229, as the federal policy embodied in the FAA to ‘provide for the enforcement of arbitration agreements’ is ‘in unmistakable conflict’ with section 229’s

requirement that ‘litigants be provided a judicial forum for resolving wage disputes.’ *Perry v. Thomas*, 482 U.S. 483, 490–91, 107 S.Ct. 2520, 96 L.Ed.2d 426 (1987). That result changes, however, where the FAA is inapplicable. California courts have held that, where only the CAA applies, an action under Labor Code section 229 may be maintained in court.’ *Garrido v. Air Liquide Indus. U.S. LP*, 241 Cal. App. 4th 833, 845, 194 Cal.Rptr.3d 297 (2015).” (*Orr, supra*, 178 F.4th at pp. 533-534.) Here again, Plaintiff’s complaint alleges claims under the Labor Code, including section 229. Under the CAA, the claim would be exempt from arbitration but under the FAA, it would not due to preemption. Accordingly, to determine whether such claims are exempt from arbitration or not, the Court must first determine if the FAA applies or not.

California Assembly Bill 2155 (“AB 2155”) was signed into law on June 30, 2026. AB 2155 amends CCP § 1281, to make arbitration agreements unenforceable under the CAA to the extent they are unenforceable under the FAA.² However, the amendment contains no language, making it retroactive and does not officially go into effect until *January 1, 2027*. Plaintiff does not provide any legal basis for why it would be applicable to this case presently. Accordingly, I submit AB 2155 does not apply here.

Until the issue of the FAA exemption is determined, there is little to no need to decide whether the case should be stayed or dismissed. Which specific claims must be arbitrated or not also need not be determined at this stage.

²AB 2155 section 2 reads: “SEC. 2. Section 1281 of the Code of Civil Procedure is amended to read:

1281. (a) A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.

(b) Notwithstanding subdivision (a), a written agreement to submit to arbitration is not enforceable under this section to the extent the agreement is not enforceable under the Federal Arbitration Act (9 U.S.C. Sec. 1 et seq.).”